## BOND MEASURE L
## CITY OF NEEDLES

## IMPARTIAL ANALYSIS OF BOND MEASURE L

***This Impartial Analysis of Bond Measure L has been prepared by the City Attorney pursuant to Section 9280 of the California Elections Code.***

The City Council of Needles has voted to place a Measure on the November 3, 2026 ballot to seek voter approval to issue general obligation bonds up to $11,200,000. The funds raised through these bonds would finance the cost of acquiring, constructing, improving, renovating, and equipping municipal improvements and public infrastructure within the City, including but not limited to, improvements to roads and transportation infrastructure, street rehabilitation, street repaving, and pothole repair, public facilities, parks and recreational facilities, community safety improvements, and the revitalization of Downtown Main Street.

The maximum interest rate on these bonds will not exceed the legal limit. The Measure also sets forth a series of accountability measures to ensure that the funds are used exclusively for the intended purposes. These include:

1. **Annual Reporting and Audits:** The City Treasurer is required to file an annual report with the City Council detailing the amount of funds collected and spent, as well as the status of the projects. Furthermore, the city will conduct annual independent financial and performance audits to ensure compliance with the Measure's provisions. These audits will be made publicly accessible and submitted to the California State Auditor for review.
2. **Use of Funds:** The Measure explicitly prohibits the use of bond funds for city employee salaries or general operating expenses.

To pass, the Measure must receive approval from at least two-thirds of the voters.

Measure L would allow an increase in the property tax rate to pay debt service on the bonds. The City estimates that the tax rate required to pay for the bonds will be $60 per $100,000 of assessed value of taxable property.

A "yes" vote would authorize the issuance and sale of general obligation bonds in the amount up to $11,200,000 to fund street, roadway, and pothole repair improvements, sidewalk and pedestrian safety improvements, and upgrade park and recreational facilities including restrooms, irrigation, landscaping, and parking at City parks and recreational facilities.

A "no" vote would not authorize the issuance and sale of the bonds.

Lena D. Wade
Deputy City Attorney
City of Needles

## ARGUMENT IN FAVOR OF BOND MEASURE L

***This Argument in Favor of Bond Measure L was submitted pursuant to Section 9282 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.***

Vote YES on Measure L to repair Needles' aging infrastructure and invest directly in our community.

Needles faces important infrastructure needs that cannot be adequately addressed through existing resources alone. Measure L provides locally controlled funding to repair and improve the public infrastructure our residents use every day.

Measure L authorizes up to $11.2 million in general obligation bonds to repair and repave deteriorating streets, fix potholes, improve roads and transportation infrastructure, repair sidewalks and pedestrian facilities, improve parks and recreational facilities, support community safety improvements, and help revitalize Downtown Main Street.

Measure L includes strong taxpayer protections. Bond proceeds cannot be used for City employee salaries or general operating expenses. All bond funds stay in Needles and must be used for purposes authorized by voters. The measure requires accountability safeguards, including annual audits, independent citizens' oversight, a separate account for bond proceeds, and annual reporting.

The projected property tax rate to repay the bonds is $60 per $100,000 of assessed value—not market value. For a property with an assessed value of $100,000, that is approximately $60 per year.

**ARGUMENT IN FAVOR – Continued on next page**

Measure L is an investment in the basic infrastructure that serves our entire community. Better streets, safer sidewalks, improved parks and recreational facilities, and renewed public infrastructure benefit residents, businesses, and the future of Needles.

**Vote YES on Measure L to repair, improve, and invest in Needles.**

s/ Janet Jernigan, Mayor, City of Needles

## TAX RATE STATEMENT FOR BOND MEASURE L

An election will be held in the City of Needles (the "City") on November 3, 2026 to authorize the sale of up to $11,200,000 in general obligation bonds to finance the City projects as described in the bond measure. If such bonds are authorized, the City expects to sell the bonds in one or more series. The following information is submitted in compliance with Sections 9400-9404 of the Elections Code of the State of California. Such information is based upon the best estimates and projections presently available from official sources, upon experience within the City, and other demonstrable factors.

Based upon the foregoing and projections of the City's assessed valuation available at the time of this statement, the following information is provided:

1. The best estimate of the average annual tax rate that would be required to be levied to fund this bond issue over the entire duration of the bond debt service, based on estimated assessed valuations available at the time of filing of this statement, is 6¢ per $100 ($60 per $100,000) of assessed valuation. It is currently expected that the final fiscal year in which the tax will be collected is fiscal year 2058-59.

2. The best estimate of the highest tax rate that would be required to be levied to fund this bond issue, and an estimate of the year in which that rate will apply, based on estimated assessed valuations available at the time of filing this statement, or a projection based on experience within the same jurisdiction or other demonstrable factors, is 6¢ per $100 ($60 per $100,000) of assessed valuation of all property to be taxed for fiscal years 2027-28 through and including 2060-61; this tax rate is projected to apply in each fiscal year that the bonds are outstanding.

3. The best estimate of total debt service, including principal and interest, that would be required to be repaid if all the bonds are issued and sold will be approximately $25.16 million.

The attention of all voters is directed to the fact that the foregoing information is based upon projections and estimates only, which amounts are not maximum amounts and durations and are not binding upon the City. These estimates are based on projections derived from information obtained from official sources, and are based on the assessed value (not market value) of taxable property on the County's official tax rolls. In addition, taxpayers eligible for a property tax exemption, such as the homeowner's exemption, will be taxed at a lower effective tax rate than described above. Property owners should consult their own property tax bills and tax advisors to determine their property's assessed value and any applicable tax exemptions. The actual debt service, tax rates and the years in which they will apply may vary depending on the timing of bond sales, the par amount of bonds sold at each sale, and actual increases in assessed valuations. The timing of the bond sales and the amount of bonds sold at any given time will be determined by the City based on the need for project funds and other considerations. Actual assessed valuations will depend upon the amount and value of taxable property within the City as determined by the County Assessor in the annual assessment and the equalization process.

## FULL TEXT FOR BOND MEASURE L

INTRODUCTION

The City of Needles ("City") faces a number of challenges due to aging and insufficient infrastructure. Public improvements are needed to City infrastructure, including but not limited to streets and roads, sidewalks, and parks and recreational facilities. A local general obligation bond was identified as a necessary component in meeting the capital financing needs of the City.

BOND AUTHORIZATION

By approval of this measure (the "Measure") by at least two-thirds of the qualified voters voting, the City shall be authorized to issue and sell bonds in the aggregate principal amount of $11,200,000 to provide financing for City projects consisting of improvement, acquisition, construction, and renovation of City facilities and infrastructure, subject to all of the accountability safeguards specified in this Measure.

The City plans and expects to use proceeds of the bonds authorized by this Measure to finance the improvement, acquisition, construction, and renovation of public infrastructure, which is expected to include the following project elements:

Street, Roadway and Pothole Repair Improvements

- Repair, replace, resurface, repave, construct, acquire, and upgrade City streets, roads, alleys, parking, intersections and transportation infrastructure
- Fix potholes
- Address pavement deterioration
- Repair, replace, resurface, repave, construct, acquire, and upgrade street surfaces
- Improve street safety
- Repair, replace, construct, acquire, and upgrade drainage infrastructure
- Repair, replace, construct, acquire, and upgrade curbs, gutters, medians, traffic improvements, striping, signage, lighting, and signals

Sidewalk and Pedestrian Safety Improvements

- Repair, replace, resurface, repave, construct, acquire, and upgrade sidewalks, walkways, curb ramps, crosswalks, pedestrian paths, and accessibility improvements.

Parks and Recreational Facilities

- Acquire, repair, replace, construct, acquire, and upgrade parks, playgrounds, recreational facilities, restrooms, irrigation, landscaping, and parking at City parks and recreational facilities.

Each of the foregoing bond projects may include all incidental projects, including abatement and removal of hazardous materials, addressing unforeseen conditions revealed by construction and/or reconstruction, other improvements required to comply with existing building codes, and all work necessary and incidental to specific projects described above, including any demolition, and all costs which are incidental but directly related to the types of projects described above. Examples of incidental costs include, but are not limited to, costs of design, engineering, architect and other professional services, facilities assessments, inspections, site preparation, utilities, landscaping, construction management and other planning and permitting, bond issuance, accounting and similar costs, demolition and disposal of existing structures, and federal and state-mandated safety measures and upgrades. Bond projects do not include money for administrator salaries or benefits or general operating expenses - see below.

The City Council has reserved the right to finance authorized projects with the bonds as it deems advisable and necessary. The inclusion or specification of a project in the foregoing list is not a guarantee that such project will be constructed or completed, or that it will be constructed or completed as described above at any particular time or in any particular order of priority. Projects and upgrades will be completed as needed at a particular site according to City Council-established priorities. This Measure authorized the financing of projects, and shall not be deemed to be an approval of any "project" for purposes of the California Environmental Quality Act.

All of the purposes enumerated in this Measure shall constitute the specific purposes of the bonds, and proceeds of the bonds shall be spent only for such purposes.

**FULL TEXT – Continued on next page**

ACCOUNTABILITY MEASURES

*No Money for Administrators' Salaries or Benefits* - Proceeds from the sale of the bonds authorized by this Measure shall be used only for costs incurred in connection with the improvement, acquisition, rehabilitation and construction of the projects listed above, and the costs of the issuance of the bonds, and not for any other purpose, including staff and administrator salaries and other operating expenses.

*Special Bond Proceeds Account, Annual Audit, and Report to Board* – The City Council hereby directs that a separate account shall be established for deposit of proceeds of the sale of bonds authorized by this Measure if the Measure is approved by the voters.

For so long as any proceeds of the bonds authorized by this Measure remain unexpended, the City Treasurer shall cause a report to be filed with the City Council no later than five (5) months after the end of each fiscal year, commencing with the first fiscal year during which any proceeds of bonds authorized by this Measure shall have been received. The report shall state (1) the amount of bond proceeds received and expended in such fiscal year, and (2) the status of any projects funded or to be funded from the proceeds of bonds authorized to be issued by this Measure. The report may be incorporated into or filed with the audit or other appropriate routine report provided to the City Council. Audited financial statements of the City will continue to be made available in accordance with applicable requirements.

OTHER TERMS OF BONDS

The bonds authorized by this Measure, in an aggregate principal amount of $11,200,000 shall be issued upon the order of the City Council in one or more series and at one or more times as may be necessary and most advantageous to raise money for the purposes set forth herein.

The bonds shall bear interest payable at a rate not exceeding the legal limit.

The bonds, or any series thereof, shall have a maturity date no later than forty years following the date of issuance of such series.

The taxes levied pursuant to this Measure shall be collected in the same manner as *ad valorem* property taxes and applied towards the payment of principal of and interest on said bonds.